

A NEW DEAL

1 AFTER 10 YEARS OF BJP MAJORITY GOVERNMENT, THE NDA'S THIRD TERM WILL BE A COALITION GOVT

2 THE FOCUS ON GROWTH AND FISCAL CONSOLIDATION IS EXPECTED TO CONTINUE

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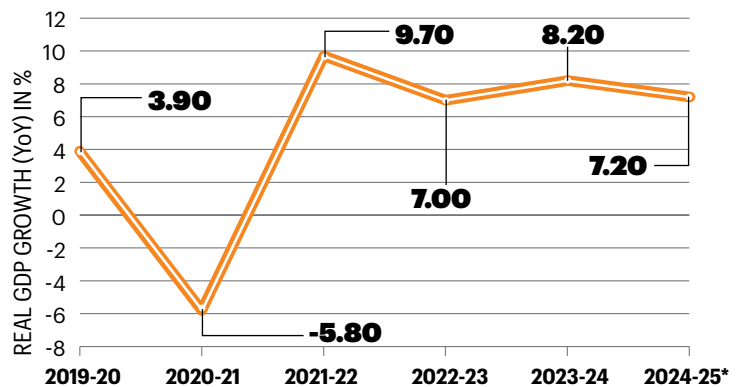
50 | **THERE IS STRENGTH** in numbers. Whether it's a corporate boardroom or a nation's Parliament, those who have the numbers can push through their decisions. With an absolute majority for the BJP, the first two terms of the Narendra Modi-led NDA government were marked by major reforms, bold decisions and a steady hand navigating geopolitical crises. The same dispensation is back in power but as a coalition. And running a coalition government is usually an onerous task, so many have been wondering if the BJP-led dispensation will be able to push through reforms and take policy decisions as smoothly as earlier.

"The most important economic reforms of 1991 were carried out by a coalition government," says veteran economist M. Govinda Rao, Professor Emeritus at the National Institute of Public Finance and Policy (NIPFP), who was a member of the 14th Finance Commission. "Necessity was the mother of invention. The country had no choice at the time but to go through with these economic reforms," says Rao, also the Chief Economic Adviser at Brickwork

MACRO STORY REMAINS INTACT THE ECONOMY MAINTAINS ITS MOMENTUM...

● GDP growth has been higher than anticipated in FY24

● The economy is likely to grow by 7% in FY25

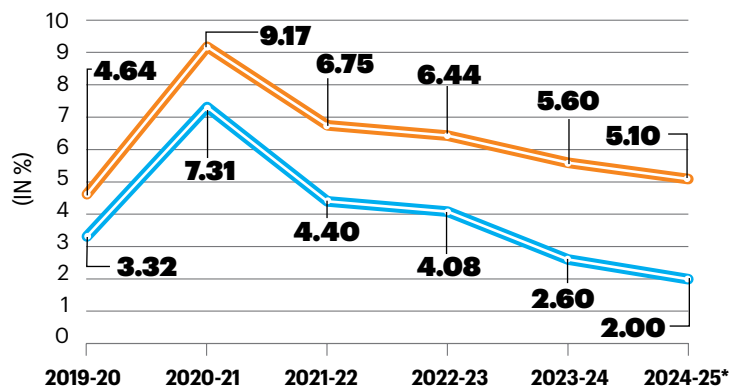


*RBI PROJECTION SOURCE MoSPI

...WHILE FISCAL CONSOLIDATION CONTINUES

● The full Budget for 2024-25 may review fiscal deficit targets

● Centre is looking to lower fiscal deficit to 4.5% by FY26



● FISCAL DEFICIT AS % OF GDP
● REVENUE DEFICIT AS % OF GDP

*INTERIM BUDGET SOURCE MoSPI